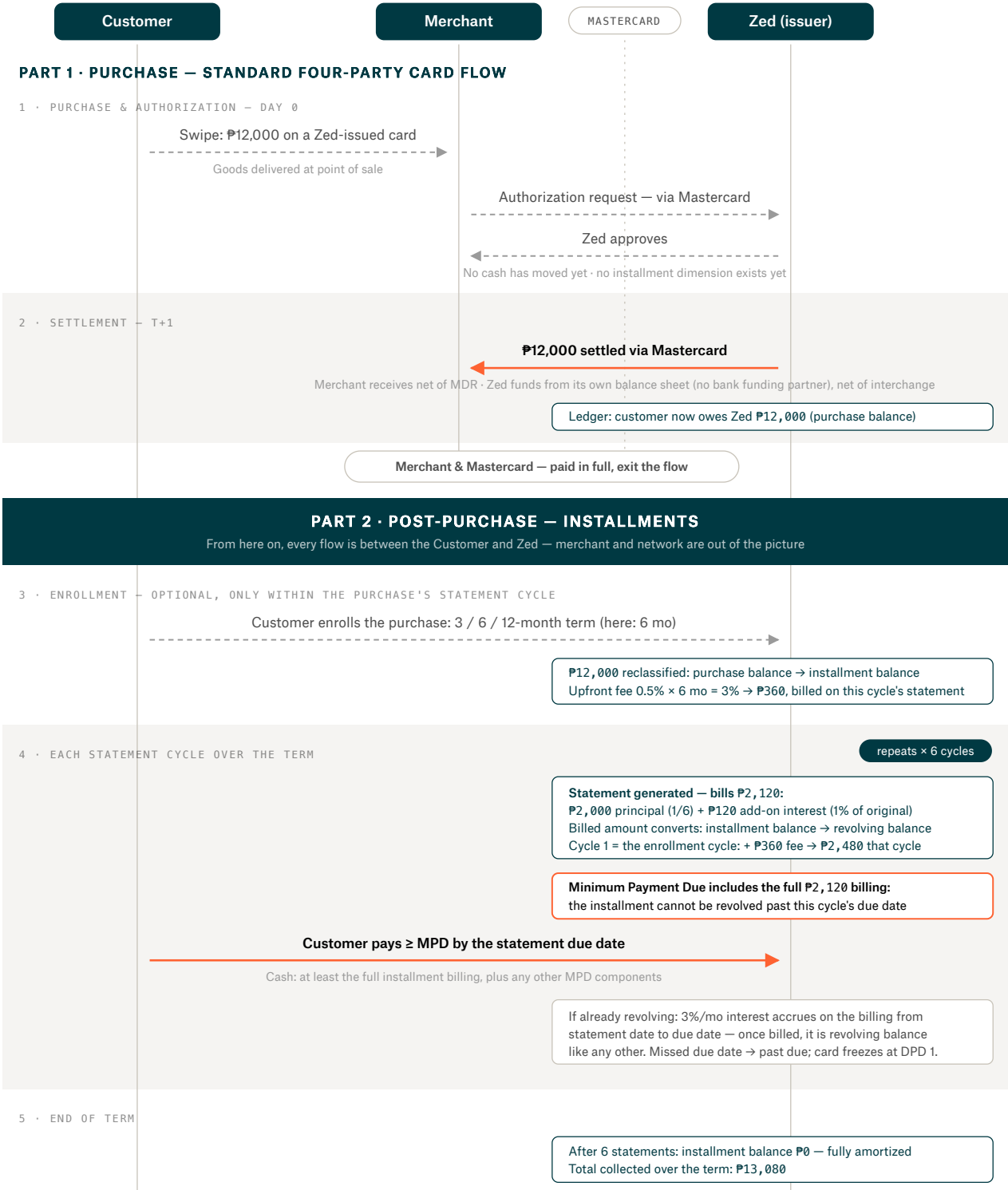


Installment funds flow — post-purchase enrollment

Worked example: a ₱12,000 purchase enrolled in a 6-month plan. **Part 1 — Purchase** is the standard four-party card flow: the swipe happens at the merchant, which sends an authorization to Zed through Mastercard; Zed approves and settles T+1. **Part 2 — Post-purchase** is Customer ↔ Zed only: Pay-Over-Time-style enrollment (only within the purchase's statement cycle) and billing over the term, with the first 1/X landing on the enrollment-cycle statement itself. Solid coral arrows are cash; dashed gray arrows are non-cash messages; boxed entries are Zed's ledger.



Where the cash lands

MERCHANT

Receives ₱12,000 less MDR at T+1, funded by Zed through Mastercard — identical to any card purchase. The merchant never sees the installment plan.

ZED

Pays out ₱12,000 less interchange at T+1, funded from its own balance sheet (no bank funding partner); collects ₱13,080 over 6 statements — ₱2,480 on the enrollment-cycle statement (upfront fee + first billing), then $5 \times ₱2,120$.

CUSTOMER

Pays ₱13,080 total: ₱12,000 principal + ₱1,080 finance charge (9.0% of principal = 3% upfront + $1\% \times 6$ months add-on).

Why the MPD rule matters

When an installment is billed, it converts back to revolving balance and is due with the rest of that cycle's statement. Zed's Minimum Payment Due formula includes the entire installment billing, so the customer must pay at least the full $1/X$ (plus that cycle's add-on interest) by the due date — the installment cannot be re-revolved into perpetuity.

Many issuers let billed installments fall into the purchase balance and revolve indefinitely; Zed deliberately does not. The revolving-interest accrual between statement generation and due date (when the customer is already a revolver) is the mechanical evidence of that conversion.

Early termination: cancellation in the enrollment cycle unwinds the plan and reverses the upfront fee (no interest); later cancellation charges a fee equal to the current cycle's interest and the upfront fee is retained. Remaining principal reverts to the revolving balance.